

CREDIT CASE STUDY

San Joaquin Valley Orchards, LLC

Fresno Madera Farm Credit | Spring 2026

\$2.1M

Operating OLOC

\$4.2M

RE Term Loan

~950

Total Acres

Isaiah Robles

Eleazar Aguirre

Andrew Lackey

Bobby
Holsworth

Robert Lopez

Vincente
Sepeda

02 BUSINESS OVERVIEW

Operations

~950 acres
650 ac almonds
300 ac citrus
800 ac owned · 150 leased

Ownership

Carlos & Elena Martinez
50/50 owners · LLC
Daniel – Field Supervisor
Rosa – Admin Support

Marketing

Almonds via cooperative
handler relationship
Citrus via Kings River
Packing (long-term)

Business Strategy

Replant program (2020–22)
Rehabilitate citrus orchards
New deep irrigation well
Expand by 80 bearing acres
Lease open land for rental income

Water Sources

Fresno Irrigation District
Two on-farm wells
(deep well added 2022)
Dual supply reduces yield risk

Location / Scale

Eastern Fresno County
Kerman–Easton area
California specialty crops
Permanent orchard operation

03 BORROWER FINANCIAL ANALYSIS

\$3.3M

Revenue 2023

\$5.7M

Revenue 2025

\$1.2M

Net Income 2025

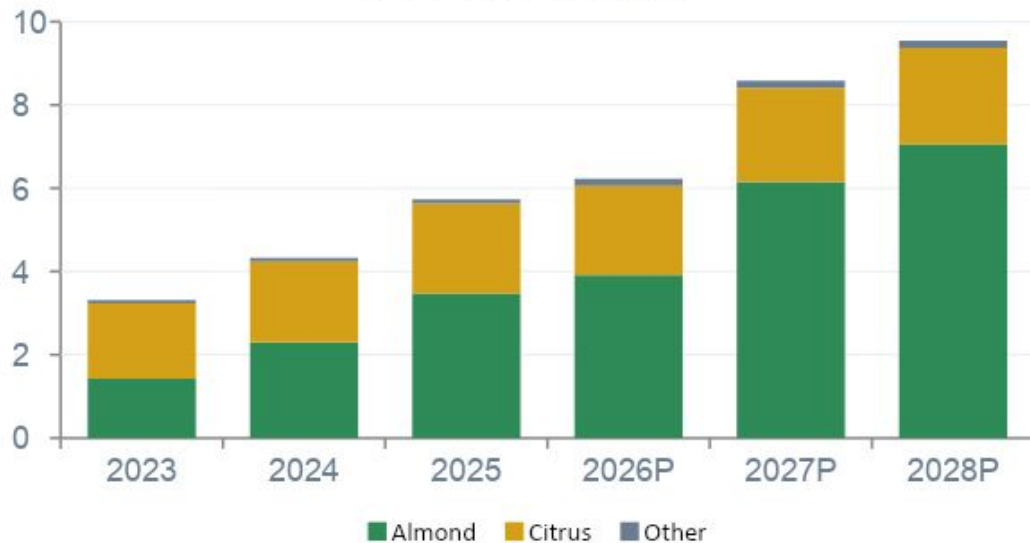
1.52x

DSCR 2025

\$1.8M

Working Capital

Revenue by Crop (\$M)



Key Metrics

Revenue Growth (23→25) **+73%**

EBITDA 2025 **\$2.4M**

DSCR 2026 (proj.) **0.97x** ⚠️

DSCR 2027 (proj.) **1.79x**

DSCR 2028 (proj.) **2.27x**

Current Ratio 2025 **1.83x**

Debt-to-Equity 2025 **0.65x**

Break-even Price '26 **\$2.46/lb**

FINANCIAL PROJECTIONS 2026 – 2028

San Joaquin Valley Orchards, LLC

\$6.2M

Revenue 2026P

↑ 9% vs 2025

\$8.6M

Revenue 2027P

↑ 38% vs 2026

\$9.5M

Revenue 2028P

↑ 11% vs 2027

0.97x

DSCR 2026P

⚠ Transitional

1.79x

DSCR 2027P

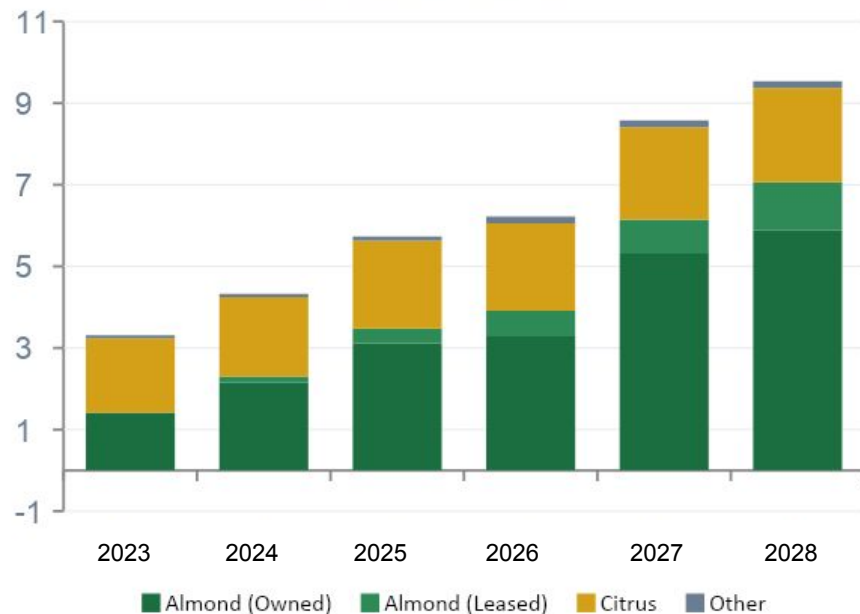
↑ Recovery

2.27x

DSCR 2028P

↑ Full ramp

Revenue by Crop (\$M)



Debt Service Coverage (DSCR)



Income & Solvency Summary (\$M)

	2026P	2027P	2028P
NOI	\$1.50M	\$2.73M	\$3.41M
Net Inc.	\$0.76M	\$2.03M	\$2.74M
Equity	\$12.5M	\$14.6M	\$17.3M
D/E	0.85x	0.66x	0.51x

Key Assumptions

Almond Price '26	\$2.69/lb
Almond Price '27	\$2.79/lb
Almond Price '28	\$2.88/lb
Owned Yield '26	2,441 lb/ac
Leased Yield '26	1,561 lb/ac
Citrus Yield '26	710 ct/ac
RE Loan Rate	7.0%
OLOC Rate	8.5%
Lease Income	\$78K/yr
Break-even '26	\$2.46/lb

04 GUARANTOR ANALYSIS

Guarantors

Carlos Martinez & Elena Martinez

Joint & several unlimited personal guaranties

50/50 LLC owners — Strong, asset-backed support with improving cash flow and significant collateral margins.

Ownership is fully aligned with business performance

Balance Sheet

Equity grew \$10.1M → \$11.8M (2023–2025). Book farmland \$12M; market value likely \$20–24M+.

Cash Flow

100% derived from the farming operation. Net income turned positive at \$1.2M in 2025. Retained earnings strengthening capacity.

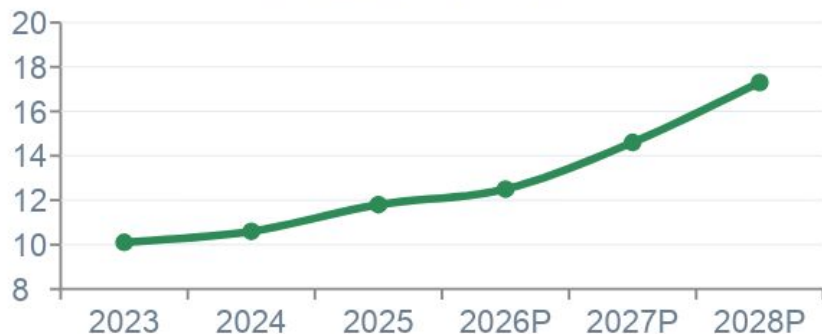
Global Cash Flow

Adequate to meet all obligations. Tight in 2026 (new debt), recovering strongly 2027–2028 as production ramps.

Liquidity

Cash \$1.49M; working capital \$1.8M; \$2.1M OLOC facility provides seasonal flexibility.

Total Equity Growth (\$M)



05 COLLATERAL ANALYSIS

Loan 1 — Operating Line of Credit (\$2.1M)

Collateral

- 1st lien on crops, growing crops, crop proceeds, A/R, and inventory
- Blanket lien on equipment (secondary)

Security Position

- First-priority UCC-1 on crops & A/R
- 2025 OLC balance: \$1.1M of \$2.1M commitment
- Blanket lien on equipment (~429k NBV)

Protection

- A/R + inventory = \$2.35M (112% coverage)
- Self-liquidating from 2026 crop receipts (\$6.4M)
- OLC = ~37% of 2025 revenue

"Subject to" Conditions

- Perfected UCC-1 filing
- Crop insurance — lender as loss payee
- Annual financial statements
- A/R aging review
-

Risk Factors

- Commodity price volatility (almonds)
- Handler/packer concentration
- Unaudited inventory value
- Added debt service pressure from Loan 2

Loan 2 — Real Estate Term Loan (\$4.2M)

Collateral

- 200-acre purchase property; 80 acres almonds, 120 acres open irrigated ground

Security Position

- Likely first lien on real estate; Sales Comparison Approach: **\$6.0M**, Simplified Income:: **\$4.608M**

Protection

- Support depends on valuation used

"Subject to" Conditions

- Title review
- Due diligence
- Lease Review

Risk Factors

- Water reliability, Orchard marketability, Mixed-use valuation, Lease / tenant risk

06 RISKS & MITIGANTS



Risk

Business Risk

Almonds are globally traded and historically volatile. Prices driven by CA supply, export demand, and competitive tree nut pricing.

Weather risk

Frost during bloom, heat, and drought affect almond and citrus harvest yields.

Management / Key-Person Risk

The operation is highly dependent on the continued involvement and leadership of Carlos Martinez.



Mitigant

Citrus provides 38% revenue diversification, having a diverse crop mix provides natural protection against single-commodity downturns.

Banks should require crop insurance on both crops as annual covenant; with lenders named as additional loss insured.

personal guarantees from both Carlos & Elena. Succession depth is growing with Daniel and Elena identified as key successors. Life insurance is recommended as a covenant.

RECOMMENDATION

07

APPROVED

with
conditions

Loan Structure

Real Estate Term Loan

\$4,200,000

70% LTV · 20-yr amort · 7.0%

Operating Line of Credit

\$2,100,000

Revolving seasonal · 8.5% · 30-day annual cleanup

Key Covenants & Conditions

- Min DSCR 1.10x (effective FY2027; 90-day cure period)
- Min Current Ratio 1.20x · Max D/A 0.60x (annual)
- Annual CPA tax returns within 30 days of filing
- Executed 5-year tomato lease confirmed at closing
- Crop insurance (Farm Credit as loss payee) each season